

you can substantiate the amounts you claim with receipts. This is the part of your return that the IRS is likely to scrutinize.

But before you read the following lists of possible deductions, I should add a disclaimer. The rules concerning deductions, even those that seem straightforward, can be very tricky. They also change frequently. Use this list only as a starting point. Consult a current tax guide or go to www.irs.gov to make sure specific deductions are still valid. Also, if you earn more than \$166,800 in 2009 (whether you're single or married filing jointly), you may be subject to a limit on some of the itemized deductions. Check your Form 1040 instructions for more details.

FIGURING OUT THE VALUE OF A DEDUCTION

Your tax bracket plays a major role in determining just how much a deduction is worth. Suppose you got a mortgage to buy a home. Assume in the first year the interest payments you made on the mortgage totaled \$10,000. You would be able to subtract, or deduct, that \$10,000 from your adjusted gross income for that year. If you're in the 15% tax bracket, that would mean saving yourself \$1,500 (15% of \$10,000). But if you're in the 28% tax bracket, the \$10,000 tax deduction would be worth \$2,800 (28% of \$10,000). Compare the cash value of your deduction with the standard deduction to figure out whether it's worth itemizing.

Some Straightforward Itemized Deductions

To see whether it makes sense for you to itemize, read the following list of possible deductions:

- **State and local income tax.** On your federal tax form you can deduct the state and local taxes you paid (including amounts withheld from your paycheck) over the course of the year. Because most people pay these taxes automatically out of their paycheck, you're likely to be eligible for this tax break.